

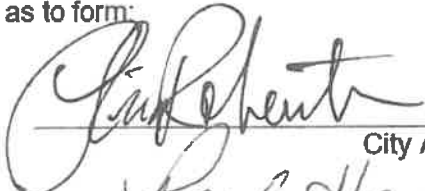
BILL # 1088-22

AN ORDINANCE TERMINATING A LEASE AGREEMENT ENTERED INTO WITH THE BARTLETT CENTER VIA SPECIAL ORDINANCE NUMBER 10354 ON OR ABOUT SEPTEMBER 5, 2023 AND AUTHORIZING THE EXECUTION OF A NEW LEASE AGREEMENT WITH THE BARTLETT CENTER TO UTILIZE SPACE IN THE HORACE MANN COMMUNITY CENTER FOR CONDUCTING PROGRAMS TO BENEFIT LOW TO MODERATE INCOME RESIDENTS IN THE AREA THROUGH JUNE 30, 2028.

BE IT ORDAINED BY THE COUNCIL OF THE CITY OF ST. JOSEPH, MISSOURI, AS FOLLOWS:

- SECTION 1.** That the City and the Bartlett Center hereby mutually agree to terminate the Lease Agreement entered into via Special Ordinance Number 10354 on or about September 5, 2023.
- SECTION 2.** That the Lease Agreement by and between the City of St. Joseph, Missouri, and the Bartlett Center to utilize space for conducting programs to benefit low to moderate-income residents in the area be, and hereby is, approved and that a true and accurate copy of said Agreement is attached hereto and incorporated herein by reference as though fully set out herein.
- SECTION 3.** That the City Manager or his designee be, and hereby is, authorized to execute said Lease Agreement with the Bartlett Center, in substantially the form as that attached hereto, by and on behalf of the City of St. Joseph, Missouri, and is further authorized to sign all necessary documents, amendments, and addenda thereto which may subsequently be required to effectuate the purpose and intent of this Agreement.
- SECTION 4.** That the Finance Director be, and hereby is, authorized to deposit the monthly lease fee into the Park Maintenance Fund, Account Number 3090-3280 (Horace Mann Lease).
- SECTION 5.** That this ordinance be, and hereby is, effective upon passage

Approved as to form:

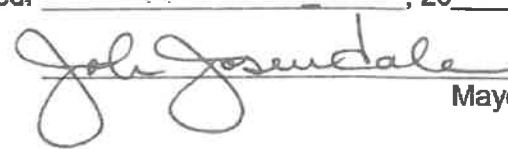


City Attorney

Attest: 

City Clerk

Passed: December 9, 20 24



Mayor

Date: November 25, 2024
Amount: \$32,543.51 + 3.5% yearly
Account Number: 3090-3280

EXPLANATION TO COUNCIL BILL

ORIGINATING DEPARTMENT: Parks, Recreation & Civic Facilities

PURPOSE: To terminate a lease agreement entered into via Special Ordinance 10354 and to authorize execution of a new lease agreement with the Bartlett Center to lease the Horace Mann Community Center through June 30, 2028.

REMARKS: The City of St. Joseph agrees to lease the Horace Mann Community Center to the Bartlett Center, excluding Rooms 8, 9, 10, and 11. This lease will extend through June 30, 2028. Included in this lease agreement is use of the concession stand/restroom building across the street in John Lucas Park. The primary changes in the new lease agreement are related to the Bartlett Center leasing the Horace Mann Community Center to outside third parties and includes requirements related to reporting and obtaining prior authorization from the City in certain circumstances, as well as the Bartlett Center accepting oversight responsibility for outside third-party rentals.

The term of this Lease will begin on August 1, 2024, and expire on June 30, 2028. The Lease payments will increase each year on July 1 of each year by 3.5%.

Beginning July 1, 2024, the lease payments are as follows:

August 1, 2024, through June 30, 2025 - \$32,543.51/year or \$2,711.96/month

July 1, 2025, through June 30, 2026 - \$33,682.53/year or \$2,806.88/month

July 1, 2026, through June 30, 2027 - \$34,861.42/year or \$2,905.12/month

July 1, 2027, through June 30, 2028 - \$36,081.57/year or \$3,006.80/month

The agreement reflects the following action items in the City's strategic plan:

1. **Ensure Fiscal Responsibility:** Increase program fees where necessary on a regular basis with market information taken into consideration.
2. **Build Community Connections:** Build and maintain connections with community partners.
3. **Improve Access to Public Safety & Services:** Work to provide safe places for people to recreate and play competitive sports.

THIS ORDINANCE HAS BEEN CERTIFIED THAT THE FOREGOING CONTRACT OR ORDER IS WITHIN THE PURPOSE OF THE APPROPRIATION TO WHICH IT IS TO BE CHARGED, AND THAT THERE IS AN UNENCUMBERED BALANCE TO THE CREDIT OF SUCH APPROPRIATION SUFFICIENT TO PAY THEREFORE.

LEASE AGREEMENT

This Lease Agreement is hereby made and entered into as of the date affixed on the signature page between the Bartlett Center, 409 S. 18th Street, St. Joseph, Missouri, hereinafter referred to as the Lessee, and the City of St. Joseph, Missouri, a Municipal Corporation, hereinafter referred to as the City.

WHEREAS, the City is the owner of a certain building and real estate, commonly referred to as the "Horace Mann Community Center," located at 409 S. 18th Street, St. Joseph, Missouri, and more specifically described as follows:

LOTS 1, 2, 3, and 4 and West 100 feet of LOTS 5 and 6, and all of LOTS 7 and 8, all as originally platted, in BLOCK 32, in Harris Addition, an addition to the City of St. Joseph, Missouri.

WHEREAS, the City wishes to lease a portion of the above-referenced property to the Lessee pursuant to the terms and conditions set forth more specifically below.

NOW THEREFORE, in consideration of the mutual covenants hereinafter set forth, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the City and the Lessee hereby agree as follows:

1. **Leased Premises.** The City hereby agrees to lease the Horace Mann Community Center to the Lessee, *excluding* Rooms 8, 9, 10, and 11. The remaining areas located within the above-referenced property, exclusive of Rooms 8, 9, 10, and 11, shall be hereinafter referred to as the "Leased Premises." The "Leased Premises" shall also include the use of the concession stand/restroom building across the street in John Lucas Park.

2. **Use.** The Leased Premises shall be used by the Lessee to provide a family resource program to low-to-moderate income households of St. Joseph, Missouri, which consists of the following services:

(a) Child Care – State licensed child-care that includes daycare, preschool, and pre-K to low- and moderate-income households.

(b) Youth Program – Activities for school aged children that includes afterschool activities as well as programs for spring and summer breaks. Homework assistance, tutoring, and physical fitness activities are part of this program.

(c) Fundraising Efforts – Activities conducted by the Lessee to support fundraising for the Lessee's operations, provided such activities (i) have been approved by the Lessee's Board of Directors (and such approval is reflected in the Board's meeting minutes) and (ii) do not substantially increase the cost of utility service for the Leased Premises. Such efforts may include activities other than rentals described in paragraph 3.

(d) Community Outreach – Activities conducted by the Lessee that are open to community members and support community engagement. Such activities are designed to learn more about the needs of community members and work in collaboration to address those needs.

No other services shall be provided without the prior written consent and approval of the City through the Director of Parks, Recreation & Civic Facilities. In addition, no part of the Leased Premises shall be used to engage in private business activities, nor shall the address of the Horace Mann Community Center be used by any individual or entity other than the Bartlett Center for the purpose of obtaining a business license.

3. Outside Rentals.

(a) Rental Agreement Required. The Lessee may rent only the gymnasium, kitchen, and conference room located within the Leased Premises to third-party individuals or entities provided the rental benefits low-to-moderate income residents and is documented in a written rental agreement, in a form approved by the City, which contains:

- (i) the name of the third-party individual or entity; and
- (ii) the proposed use; and
- (iii) the date(s)/time(s) or term; and
- (iv) the amount of rent to be charged, if any.

A member of the Lessee's staff shall be present during the time frame within which the Leased Premises is rented, which shall include any associated preparation and/or clean up. At the conclusion of the rental period, the staff member shall check the condition of the areas rented, including bathrooms. If the kitchen area was rented, the staff member shall check to ensure that the stove top and/or oven, if used, has been turned off and that any appliances have been unplugged, as necessary.

No other portion of the Leased Premises may be rented or subleased without approval of the City Council of the City by motion, resolution, or ordinance, unless otherwise stated in this Agreement.

(b) Uncompensated Third-Party Use. If a rental agreement reflects that the individual or entity renting a particular area within the Leased Premises will not be required by the Lessee to pay a corresponding rental fee, the Lessee shall provide the Director of Parks, Recreation & Civic Facilities with a detailed explanation at the end of each month outlining the reason(s) for this decision due to the fact that utility costs are not included as part of the Lessee's financial responsibility under Section 5 of this Lease Agreement and are, thus, borne by the City. This written explanation shall accompany the corresponding rental agreement.

(c) Rental Agreements to be provided to City. The Lessee shall provide a copy of each rental agreement to the City's Director of Parks, Recreation & Civic Facilities at least thirty (30) days prior to any event that may (i) exceed one hundred (100) attendees

and/or (ii) require preparation efforts from the City. The Lessee shall provide copies of all other rental agreements at the end of each month as part of a Rental Report.

(d) Quarterly Rental Report. The Lessee shall provide a quarterly report that includes copies of all rental agreements entered into, as well as an accounting of all rental fees assessed, during the previous quarter to the City's Director of Finance on or before the 15th day of each March, June, September, and December.

(e) Filing Annual Report. On or before July 15th of each year, the Lessee shall prepare an annual report for the City Council, containing the information outlined in subsection (a)(i) through (v) and subsection (b) of this Section. This report shall be submitted to the City Clerk's Office.

(f) Termination. The City retains the right to terminate use of all portions of the Leased Premises for outside use under this section based upon the utility costs incurred by the City as a result of such use.

4. Term. The term of this Lease Agreement shall be July 1, 2024, through June 30, 2028.

5. Lease Amount. The Lessee agrees to pay the City the annual rent payments set out below, which do not include utility costs:

August 1, 2024 through June 30, 2025:	\$32,543.51/year	\$2,711.96/month
July 1, 2025 through June 30, 2026:	\$33,682.53/year	\$2,806.28/month
July 1, 2026 through June 30, 2027:	\$34,681.42/year	\$2,905.12/month
July 1, 2027 through June 30, 2028:	\$36,081.57/year	\$3,006.80/month

6. Lease Payments. The first payment shall be made on or before the first day of July, 2024, and each successive payment shall be made on or before the first day of each successive month thereafter, until the expiration of this Lease Agreement, including any renewals or extensions thereof. All payments shall be made to the Director of Finance, Room 106 City Hall, 1100 Frederick Avenue, St. Joseph, Missouri, 64501, or to such other individual entity at such other address as may be specified by the City at a later date. The City reserves the right to impose a Ten Percent (10%) penalty fee in the event any lease payment due is not received by the tenth of each month. The Lessee's covenant to pay rent is, and shall be, independent of each and every other covenant of this Lease Agreement. The Lessee agrees that any claim made by the Lessee against the City shall not be deducted from rent, or set off against any claim for rent, in any action.

7. Utility Payments.

(a) The City, at its cost and expense, shall provide the Leased Premises with the following utility services; but shall not be responsible for any delays, failures, or accidents that may affect said service:

- (i) Reasonable heat in compliance with state licensing requirements applicable to childcare facilities.
- (ii) Electric power, as available through regularly installed fixtures and/or appliances.
- (iii) Water, as available through regularly installed fixtures and/or appliances, for food preparation, drinking, and toilets.

(b) The Lessee shall be responsible for the installation of, and payment for, monthly bills associated with telephone, cable services, and internet service used by the Lessee at the Horace Mann Community Center. The Lessee shall make internet or telephone service it has procured available to the City for the purpose of operating mechanical and other systems that are under the City's control.

8. Maintenance, Repair, and Replacement.

(a) The Lessee shall be responsible for all routine maintenance and minor repairs, as well as all janitorial services required in order to maintain the Leased Premises in a safe, decent, and sanitary condition, including, but not limited to, the first-floor restrooms, hallways, and common areas within the Horace Mann Community Center, the concession stand/restroom structure in John Lucas Park, and any projects created or initiated by the Lessee (such as a community garden). Examples of routine maintenance and minor repair include, but are not limited to, changing light bulbs, unclogging toilets, and ensuring compliance with property maintenance standards for any projects created or initiated by the Lessee.

(b) The City shall have no obligation to engage in routine maintenance or minor repair work. Any major repairs that may be required shall be evaluated and completed in accordance with corresponding capital improvement program schedules, including, but not limited to, projects funded through CDBG, CIP, and the Park Tax. The Lessee must provide notice to the City of any unbudgeted modifications and/or repairs through the needs assessment referenced in Section 9 below.

9. Annual Needs Assessment – Major Repairs. The Lessee shall provide the City's Director of Parks, Recreation & Civic Facilities, with a needs assessment as it pertains to major improvements and repairs needed to the Leased Premises. This needs assessment shall be provided to the City on or before December 15th during each year of the lease term that begins the following July; such advanced notice will better enable the City to include funding for capital needs in the City's annual budgeting process.

10. **Condition of Premises.** The Lessee acknowledges that the Leased Premises are in acceptable structural and mechanical condition and agrees to accept the City's judgment as to what constitutes acceptable fair wear and tear arising from the Lessee's programs and activities. The Lessee shall use, care for, and maintain the Leased Premises in accord with Paragraph 10 below, and any other applicable provisions of this Lease Agreement.

11. **Care of Premises.** The Lessee shall not injure, mar, or in any manner deface the Leased Premises and shall not cause or permit anything to be in any manner be injured, marred, or defaced; and will not drive or permit to be driven nails, hooks, tacks, or screws into any part of said building or equipment, and will not make or allow to be made any alterations of any kind therein. The Lessee agrees that no bills, signs, or other articles shall be posted, nailed, or otherwise attached to any part of the interior of said building in any such manner as to injure, mar, deface or destroy the same; nor shall any bills, signs, or other articles be in any manner attached to the exterior walls or windows of the Leased Premises, or any portion of the same, without the prior written consent and approval of the City.

12. **Alterations made by Lessee; Fixtures.** No alterations or improvements shall be made by the Lessee to the Leased Premises without first having received the prior written consent and approval of the City. Any alterations or improvements authorized by the City and made to the Leased Premises for the benefit of the Lessee shall be made at the Lessee's sole cost and expense. Unless otherwise stated in a separate written agreement between the Lessee and the City, any alterations or improvements considered trade fixtures shall be removed from the Leased Premises prior to the end of the leased term and the Leased Premises shall be restored by the Lessee to its original condition. Any such trade fixtures that are not removed from the Leased Premises prior to the end of the lease term shall be considered fixtures of the real estate and, thus, may be retained by the City.

13. **Insurance.**

(a) The Lessee shall maintain Commercial General Liability insurance with minimum limits of One Million Dollars (\$1,000,000.00) per occurrence and Two Million Dollars (\$2,000,000.00) general aggregate for bodily injury and property damage. Such insurance shall be written to specifically cover the Lessee's rental of the Horace Mann Community Center to third-party individuals or entities, as described in Section 3 of this Agreement.

(b) The City reserves the right to approve the insurance carrier issuing said policy of insurance. To the extent required by law, the Lessee agrees to provide Workers' Compensation and Employer's Liability insurance.

(c) The Lessee shall not suffer any article to be brought into, or act done on or in, the Leased Premises that might in any way vitiate or increase the premiums on the policy or policies of insurance held by the City on the Horace Mann Community Center, of which the Leased Premises is a part.

(d) The Lessee shall furnish a Certificate of Insurance to the City's Risk Manager, prior to the commencement of the Lease term, evidencing its compliance with the insurance requirements enumerated herein. The City shall be named as an additional insured on the Certificate of Insurance.

(e) Nothing herein shall be deemed to permit a cause of action against the City for damages or be deemed a waiver of the City's sovereign immunity relative to any claim against the City.

14. Indemnification. The Lessee hereby agrees to indemnify, defend, and save harmless the City, its officers, agents, and employees, from and against any and all loss of, or damage to, property or injuries to, or death of, any person or persons, including its officers, agents, and employees, from any and all claims, damages, suits, costs, expense, liability, actions, or proceedings of any kind or nature whatsoever, in any way result from, or arising out of, directly or indirectly, the Lessee's operations in connection herewith, or its use or occupancy of any portion of the Leased Premises herein described, including acts of commission or omission of employees, representatives, or agents of the Lessee; but this indemnification shall not apply to occurrences that are due to the sole negligence of the City, its agents, or employees.

15. Damage or Injury to Property. The City and its employees, servants, and agents shall not be responsible for any damage or injury that may happen to the property of the Lessee, or of the Lessee's agents, servants, employees, program participants and/or guests, or for any damage or injury that may happen to property that may belong to any other person; including loss from theft, fire, or any other circumstances arising from the Lessee's programs and activities, except any damage or injury that is due to the sole negligence of the City, its agents, or employees.

16. Payment of Taxes and Fees. The Lessee agrees to promptly pay all lawful general taxes, special assessments, excises, license fees, and permit fees, of whatever nature, which may be applicable to the Lessee, and to obtain and keep current all licenses, whether municipal, state, or federal, required for conducting its operation and programs. The Lessee further covenants and agrees not to permit any of said taxes, assessments, excises, fees, or charges to become delinquent.

17. Compliance.

(a) The Lessee shall abide by, comply, and confirm with all laws, rules, and regulations adopted or established by any federal, state, or local governmental body or agency and the Lessee will require its agents and employees to likewise comply.

(b) The Lessee shall comply with any rule or regulation that may from time to time be adopted or prescribed by the City related to the government, use, and management of the Horace Mann Community Center.

(c) The Lessee agrees and understands that the Lessee is responsible for the conduct of those working within the Leased Premises, as well as those entering the Horace Mann Community Center as patrons, and will not permit any violation of law in or upon the Leased Premises. The Lessee further agrees and understands that consumption by its

patrons of any alcoholic beverage whatsoever on the Leased Premises, or elsewhere within the Horace Mann Community Center, will not be permitted under any circumstances.

18. Access to Premises by City. The Lessee shall provide the City with free access to the Leased Premises at all reasonable hours for the purpose of examining or exhibiting the same, or to make any repairs the City may deem necessary for the benefit of the Horace Mann Community Center, which includes the Leased Premises.

19. Security of Premises. The Lessee shall unlock and re-secure the Leased Premises during the Lessee's normal hours of operation, and/or in connection with any of the Lessee's programs and/or activities that might extend beyond the Lessee's normal operating hours.

20. Termination.

(a) Either party may terminate this Lease Agreement upon providing the other party with ninety (90) days advance written notice.

(b) The Lease Agreement may be terminated immediately by the City for cause if the Lessee fails to obtain prior written permission from the City, where specifically set forth in this Agreement, or remedy a material deficiency in the performance of its obligations pursuant to the terms and conditions of this Lease Agreement within five (5) calendar days after receipt of written notification of such deficiency from the City.

(c) If the Leased Premises is rendered untenable during the term of the Lease Agreement by fire or other casualty, the City may, at its option, either terminate the Lease Agreement or repair the Leased Premises within thirty (30) business days thereafter. If the City has not repaired the Leased Premises within, and prior to the expiration of, said period of time, then the term hereby created shall terminate. If this Lease Agreement is terminated by fire or casualty as herein specified, rent shall be apportioned and paid up to the day of such fire or other casualty.

21. Renewal. The City and the Lessee agree to begin negotiating the renewal of this Lease Agreement one (1) year prior to its expiration in order to ensure continuity and stability.

22. Miscellaneous Provisions.

(a) Acknowledgment. The parties to this Agreement declare that the terms of this Agreement have been completely read and are fully understood and voluntarily accepted.

(b) Amendments. No amendments may be made to this Agreement except as may be mutually agreed upon, in writing, by the parties.

(c) Assignment. The Lessee shall not assign this Agreement, suffer any use of the Leased Premises other than that herein specified, or let or sublet the same, without the prior express written consent and approval of the City.

(d) No Waiver. Waiver of any provisions of this Agreement or any breach of this Agreement shall not thereafter be deemed to be a consent by the waiving party to any further waiver, modification, or breach by the other party, whether new or continuing, of the same or any other covenant, condition, or provision of this Agreement. Failure by one of the parties to this Agreement to assert its rights for any breach of this Agreement shall not be deemed a waiver of such rights.

(e) Counterparts. This Agreement may be executed in one or more counterparts each of which shall be deemed an original and all of which shall constitute one and the same Agreement.

(f) Entire Agreement. This Agreement contains the entire agreement between the Parties hereto and the terms of this Agreement are contractual and not a mere recital. The terms and conditions of this Agreement shall supersede all other lease agreements, including any addendums or amendments thereto, between the City and the Lessee. Such other lease agreements, including any addendums or amendments, shall be considered null and void upon the full execution of this Agreement.

(g) Governing Law. This Agreement shall be governed by and construed and interpreted in accordance with the laws of the State of Missouri, without regard to its principles of conflict of law. Each party irrevocably agrees that any legal action, suit, or proceeding arising out of or in connection with this Agreement, or other agreement between the parties, or disputes relating thereto, shall be brought in a court of competent jurisdiction located in St. Joseph, Buchanan County, Missouri.

(h) Notices. All notices required or permitted by this Agreement shall be deemed given when either (i) delivered to the opposite party at the address below, or (ii) deposited in the United States mail, postage prepaid and certified, addressed to the opposite party at the address below:

To the City: City of St. Joseph
 c/o Parks, Recreation & Civic Facilities Director
 1920 Grand Avenue
 St. Joseph, Missouri 64505

To the Lessee: Bartlett Center
 Attn: Executive Director
 Horace Mann Community Center
 409 S. 18th Street
 St. Joseph, Missouri 64501

(i) Severance. The invalidity, in whole or in part, of any provision of this Agreement shall not affect the validity of any other provision of this Agreement.

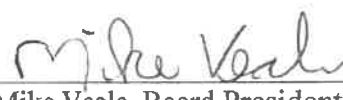
23. **Termination of Prior Agreement.** Upon execution of this Lease Agreement, all further duties and obligations in the Lease Agreement dated September 7, 2023, and executed by the City and the Lessee, shall be deemed terminated and replaced by this Lease Agreement. Any rights or remedies available under the Lease Agreement dated September 7, 2023, for obligations that arose under said agreement shall remain available to the parties.

IN WITNESS WHEREOF, the City and the Lessee have caused this Agreement to be executed, pursuant to due and legal action authorizing the same to be done, on the date first written above.

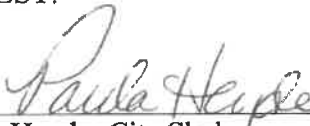
CITY OF ST. JOSEPH, MISSOURI
("LESSOR")


Clint Thompson, Interim City Manager

BARTLETT CENTER
("LESSEE")


Mike Veale, Board President

ATTEST:


Paula Heyde, City Clerk

ATTEST:

Board Secretary